

Foreign Investment Writeup

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1. Executive Summary

The main findings of this analysis was that there were a few variables that can be very impactful towards understanding what drives universities to have successful foreign investment. There were three geographic regions that many universities focused on building their relationships with. This included East Asia, the Middle East and South Asia. East Asia was the most important market followed by the Middle East. Average donation was not an important predictor of total compensation of foreign gifts. Academic rank was a very strong predictor. Lastly, countries with more diversified portfolios of investment had larger total monetary funding.

UVA has a very strong foundation with Southern Asia and also manages a very diversified portfolio. However, their total compensation is subpar for their academic rank (36 of 53 qualifying nations). The primary suggestion for UVA to improve their total compensation is to invest their resources in building and maintaining stronger relationships with the Middle East (ranked 39 out of 53) and East Asia (Ranked 48 out of 53).

2. Initial Analysis

In order to appropriately compare UVA to similar schools the dataset was shrunk to schools who compete in one of the power 4 conferences (ACC, Big 10, Big 12, SEC) and schools who have received compensation from foreign entities. After obtaining the dataset, the next step was exploring different variables to see what hidden relationships may exist in the data.

One of the most important variables that was found was the strong positive relationship between academic prestige and foreign compensation. As a very strong academic university (ranked 9 out of 53 eligible schools) UVA is set up to receive large investments for research in their numerous successful departments.

The next important factors were understanding where the money was coming from. Instead of looking at single nations the focus was on finding geographic regions. There were three regions that had large amounts of donations to American universities. These included in the order of total compensation (East Asia, Middle East and South Asia). UVA has very strong investments coming from South Asia, but weaker relationships from East Asia and Middle East.

The last variable of significance was the percent from top 5 countries. This variable measures the diversity of an investment portfolio from foreign nations. Colleges who have a large proportion of their resources invested in a smaller number of nations (arbitrary threshold of 5) will have less diversity in

their investment portfolio. The data showed that it was beneficial to diversify your portfolio.

	Variable	Spearman Correlation	P-value	Significant
0	East Asia Total	0.792336	9.519361e-13	True
1	Number of Gifts	0.776060	5.446318e-12	True
2	Middle East Total	0.620446	5.606885e-07	True
3	South Asia Total	0.438450	9.125697e-04	True
4	Average Donation	0.170802	2.168806e-01	False
5	Academic Rank	-0.518831	5.836430e-05	True
6	Percent from Top 5 Countries	-0.534113	3.188047e-05	True

Table 1: Spearman Test for significant variables to total foreign compensation

3. Investment Strategy

UVA's priority should be allocating their resources towards receiving more investments from the Middle East and East Asia.

UVA is already well established in the Southern Asian market. This is mainly driven by UVA's strong relationship with Bangladesh (number 1 donor). UVA is also not too reliant on single entities and has very strong economic diversity. 33% of UVA's donations come from countries that are not amongst UVA's top 5 donors. The benefit of this economic diversity is that it shows that UVA is able to maintain relationships with many different countries. These countries also come from around the world. Nations amongst UVA's top 15 donors come from Asia, Europe, Africa and the Caribbean

Given UVA's very strong academic prowess, diversified portfolio across the world and strong ties to Southern Asia, why is UVA ranked in the bottom 25 percentile of all power 4 schools who received donations from foreign entities? The issue lies in their lack of presence in East Asia and the Middle East. These regions have a large number of monetary resources and a strong passion for influence in the United States.

The specific countries that UVA should focus on strengthening their relationship with are Israel, South Korea and Japan. These countries are currently not top global donors, but they are all in the top 30 strongest economic nations by GDP (Japan-4, South Korea-15, Israel-26). All three of these countries are already some of the top 15 donors to UVA. This means that the university already has a relationship with institutions in all three of these countries. These nations will feel a lot of pressure from

other countries in their region. Japan and South Korea may want to increase their influence once they are aware of the strong influence that China and Hong Kong have on American education. Israel could also be a potential strong nation to consider. Amidst the rising political tensions in the middle east, Israel will be very open to leveraging their resources for power in the United States. Considering that Qatar and Saudi Arabia are some of the top current nations that donate to American schools Israel will want to rival these nations by investing in schools that do not already receive significant compensation from other middle eastern nations. UVA could be a prime target due to their current lack of investment from the Middle East and their existing relationship with Israel.

	Variable	UVA Value	UVA Rank
0	Number of Gifts	9.800000e+01	25
1	Total Gift Money	2.218924e+07	36
2	Average Donation	2.264208e+05	44
3	Academic Rank	1.000000e+01	9
4	Middle East Total	6.236550e+05	39
5	East Asia Total	2.659700e+05	48
6	South Asia Total	4.228589e+06	5
7	Percent from Top 5 Countries	6.743474e+01	41

Table 2: UVA's individual rank out of 53 for each predictor

4. Conclusion

In conclusion, the best way for UVA to improve their compensation from foreign entities is to target institutions and countries located in the Middle East and East Asia. The primary prospects are countries that already are existing donors to UVA and could have motivation to increase their donations. Due to political tensions and economic rivalries Israel, South Korea and Japan are all countries with the resources and motivation to increase their monetary involvement and strengthen their already existing relationship with the university of Virginia.